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Luxury | Europe

Key debates before the numbers: cyclical air-pocket or a structural reset?

Ahead of luxury results season kicking off this week, we frame the key investor debate facing the sector over the next 12-24 months: is the slowdown of the past two years a cyclical air-pocket that normalises as comps ease and China stabilises, or is the sector undergoing a genuine structural reset in its growth drivers? China remains the single biggest swing factor either way.

Cyclical or a structural reset? The bull case rests on the view that 2022-2025 was a demand air-pocket (i.e. a hangover from a pandemic-era pull-forward) that is now largely lapped, with easier comps, a slow China inflection, fresh creative energy setting up a re-acceleration into 2026/2027 and a wave of AI wealth creation, which should be supportive for luxury spend. The bear case is that the sector triggered its own slowdown by pushing pricing beyond what its (increasingly democratized) customer base could absorb, and that the resulting effects (fewer active customers, a larger and more acceptable second-hand/dupe market, and importantly ongoing "luxury fatigue") will not simply unwind as comps ease. On this view, growth is becoming structurally more reliant on a narrower, wealthier cohort rather than the broad-based demand expansion of 2000-2019 (hence our reference for stocks more exposed to the higher end of the K, i.e. RACE, CFR and BCU). We think the market remains genuinely divided between these two views, and that the results season will be read primarily through this lens: is any 1H26 improvement evidence of cyclical recovery, or merely easier comps masking a lower structural growth rate?

Inside this note we unpack the key elements behind this debate – namely why the bulls see this as cyclical (easier comps, US holding up, China stabilisation, AI wealth etc.) and why the bears see this as structural (customer loss, pricing power used up, general luxury fatigue, rise and acceptance of the second-hand market, democratisation of luxury in the West may be reversing, shift towards wellness & longevity, etc).

Overall, we don't think this debate will be settled by results season alone. The bull case is a genuine, defensible cyclical recovery story built on easier comps, US resilience, creative reinvigoration, Middle-East reopening play and a China that is bottoming, with emerging markets still representing an opportunity for TAM expansion for the sector over the medium to long term. The bear case is that the industry saw real and possibly durable changes to its customer base and pricing credibility over 2022-2025, compounded by structural competitive threats (resale, luxury fatigue) that simply didn't exist in prior downturns, with China now a harder-

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Industry View

In-Line

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to-underwrite pillar rather than a reliable growth engine. Investors should treat any 1H26 acceleration with some caution until it can be disentangled from comp effects; the real test is whether volume/customer trends are actually turning.

What would change our mind

- **Towards the cyclical camp:** evidence that recent product/mix repositioning (accessible bags, entry points) is durably restoring volumes rather than just flattering one quarter; creative reinvigoration driving its own demand; a sustained (not one-quarter) re-acceleration in Chinese footfall/spend independent of the equity market wealth effect;
- **Towards the structural camp:** further evidence that second-hand growth is cannibalizing (rather than expanding) the primary-market customer funnel; continued store rationalisation in China Tier 2-3 cities alongside flat-to-negative net openings in core Europe; industry commentary continuing to flag pricing/value-perception issues rather than volume recovery; a further delay in China property stabilisation past the 2H 2027 timeline currently being cited by our contacts.

The bulls vs the bears; China still the swing factor

Why bulls see this as cyclical

- **Comps are genuinely easier.** 2026 laps two years of destocking/demand normalisation in China and a soft US-election-adjacent comp base; bulls argue this alone should flatter growth optically.
- **US demand still holding up,** with our channel checks showing no clear slowdown as the region "comps the comp" following the post-election 2024 acceleration.
- **China: signs of a slow inflection, not just easier comps.** Equity market strength is starting to offset (though is not yet fully offsetting) the property drag on household wealth; anecdotal evidence of returning shopping queues and firmer second-hand prices since late 2025 supports a bottoming narrative rather than a structural impairment of the Chinese consumer. In fact, year to date, the cumulative change in A share market capitalisation (up RMR +10trn) exceeded the cumulative value destruction in the housing asset value (down RMR -6trn), as the tech heavy Shenzhen index is up c.+9%) – see our note [here](#). In addition, the savings rate in China remains elevated, and the bulls argue that the narrative that Chinese consumers fundamentally like luxury has not changed (they are holding back their purchases in light of the property market downturn, and once sentiment changes they will have savings to spend).
- **Creative reshuffling could generate its own demand.** The unusually large wave of new Creative Director appointments across the industry (more in the last few months than at any point in ~30 years) is viewed by our channel checks as a potential supply-side demand catalyst, alongside a pendulum swing back toward a more maximalist aesthetic. Chanel's recent apparent success can be seen as evidence of the former (see our notes [Read across from Chanel's 2025 results](#) and [Luxury 2026: If Chanel wins, at whose expense?](#))
- **The aspirational customer hasn't disappeared, but is dormant.** Recent product/mix moves (ex. Chanel's sub-€6k "25" bag) suggest that where brands have corrected pricing architecture, volumes have responded, implying the customer base is recoverable rather than permanently lost.
- **AI wealth creation boom should be supportive for luxury spend.** Near-term AI-driven wealth creation (newly minted millionaires, elevated bonus pools) should provide a cyclical boost to luxury demand. As per the Knight Frank Wealth Report 2026, between 2021 and 2026, the global population of UHNWIs (those worth more than US\$30m) rose from 551k to 713k. That equates to +162k new UHNWIs in just five years, or 89 people crossing the US\$30m threshold daily. Looking ahead, Knight Frank forecasts +235k more UHNWIs by 2031 (or 129 per day).
- **GLP-1 incremental boost.** The rise of GLP-1s is creating a new incremental source of apparel demand, particularly relevant for high-end brands, as adoption today skews disproportionately towards affluent consumers, and weight-loss driven size changes are triggering a higher-than-normal wardrobe refresh cycle. This effect is also amplified by a reward/self-reinvention dynamic, whereby consumers upgrade both fit and style following weight loss (and this reward intention could skew towards luxury).

Why bears see this as structural

- The industry lost real customers, not just spending intensity.** Per Bain-Altgamma, the luxury customer base fell from >400m in 2022 to ~330m in 2025: an ~80m customer loss that management teams such as Prada have themselves acknowledged as roughly 1-in-5 consumers lost over a few years. Easier comps do not automatically bring these customers back. Actually, the growth of customers between 2019-2022 (peak year) likely incorporated aspirational consumers embracing a post-pandemic "YOLO" mindset given excess savings, and a wave of first-time luxury buyers entering the market in the same mindset (consumer who wouldn't have been luxury consumers otherwise).
- Pricing power looks like it has been used up, not just paused.** Hero-item price hikes (>+100% on some Chanel styles, >+75% for most luxury handbags between 2019-2025) outpaced improvements in perceived value. Prada Group's CEO Andrea Guerra indicated at the Bain Altgamma conference on November 14th 2024 that pricing had been the "biggest failure" of the industry. Once trust in price-to-value is damaged, bears argue elasticity is structurally higher and hard to reverse.
- General luxury fatigue.** In response to slowing volumes, we believe brands intensified marketing and commercial initiatives to defend share. In an interview with Business of Fashion (October 30th 2024), Chanel Watches & Jewellery president Frédéric Grangié observed that "an overly commercial approach to fuelling luxury has weakened the allure brands have held over many years", introducing 'luxury fatigue' – essentially a lack of excitement and exclusivity in the industry. This could put further pressure on demand, if consumers struggle to justify such expensive purchases.
- Second-hand and "dupe" culture are structural, not cyclical, headwinds.** The global resale market has grown to an estimated €50bn (+4-6% growth), providing a permanent lower-price alternative; in China specifically, the resale market (~10% of primary market size, trending toward Japan's ~30%) and the rapid, socially-acceptable rise of manufacturer-sourced "dupes" (píng ti) represent genuinely new competitive dynamics that did not exist in prior slowdowns (e.g., 2013-2016).
- China has shifted from a growth engine to a harder-to-underwrite pillar.** Even our more bullish industry contacts now talk about +MSD%-to-+HSD% medium-term growth in China, not the consistent double-digit growth that drove ~60% of the industry's expansion pre-2019. The read-through from the property market (~70% of China's household wealth, still confirmed as declining per the most recent data, with some contacts not expecting recovery before the second half of 2027) is a bigger and more structural swing factor than in past cycles, and the economy looks increasingly K-shaped: HNWI spending (aided by equity market gains) is fine, but the aspirational middle class (historically the volume growth engine) remains constrained by weak job/wage confidence despite near-record savings rates.
- Democratization in the West looks mature, and may be reversing.** There is limited evidence of genuine white-space store expansion left in core Europe, and share is arguably migrating toward accessible premium brands (Coach, Polène,

Ralph Lauren, etc.) rather than being retained within traditional luxury, suggesting some of the 2000-2019 TAM expansion is now leaking out of the category rather than pausing within it.

- **Growth itself has been more cyclical than the market gave it credit for.**

Company-level organic growth series show much sharper amplitude through the cycle than investors previously assumed (the 2020-2022 boom/bust being only the most extreme example), raising the risk that any near-term stabilisation is itself just another turn of a more volatile cycle rather than a return to a stable structural growth rate.

- **A shift towards wellness & longevity.** As highlighted by Bain at our luxury conference recently, luxury spend is undergoing a structural shift towards “experiential indulgence”, with consumers increasingly reallocating wallet share from products to experiences linked to wellness, longevity and self-reward. However, the impact is highly segment-dependent: aspirational consumers are increasingly forced to switch spend away from goods towards experiences, exacerbating weakness in entry-level luxury, while HNWIs/UHNWIs retain the capacity to spend across both categories, with experiences acting as a complement rather than a substitute, we believe.

China: still the swing factor

Both sides of the debate ultimately collapse into a China argument. Bulls point to early, tentative green shoots (equity-market-driven wealth effects, some returning mall queues, firming second-hand prices) as evidence that the worst is behind us and that China can again become a (partial) tailwind. Bears counter that:

- The property market remains the dominant driver of Chinese household wealth and is still declining, with local contacts pushing out the recovery timeline into the second half of 2027.
- The market is increasingly K-shaped, with the aspirational/middle-income cohort (not HNWIs) being the historical volume driver, and that cohort remains under pressure from job security and AI-related white-collar concerns.
- The rise of dupes and second-hand supply in China specifically dilutes the pricing power and scarcity value that underpinned brand economics there.
- Some investors are concerned about potential parallels with Japan's property-led slowdown in the 1990s/2000s, where repeated “false starts” in real estate led to a much more prolonged consumer recovery than initially expected: the key risk being that China's recovery, if and when it comes, is neither quick nor linear.

Longer term, China optimists would note the market remains structurally underpenetrated relative to its size (and a bull case scenario could be that China goes in the direction of Korea where luxury spend per capita is among the highest in the world, > \$325/capita vs. China's \$55). And in parallel newer and emerging markets should gradually follow a similar path of luxury adoption as their middle and upper-middle classes expand, supporting the next wave of consumer stratification and premiumisation. At Kering's CMD in April, management noted a “6-pack” of newer markets (Middle East, India, Southeast Asia, Brazil, Mexico, Nigeria) which already represent ~€34bn in luxury demand versus China's ~€42bn, as per Bain Altagamma estimates, and could eventually replicate China's role as a growth engine. But even the most positive framing pushes that diversification

benefit out several years, leaving China as the swing factor for 2027/2028 numbers.

Valuation Methodology and Risks

Brunello Cucinelli (BCU.MI)

Blended methodology: 15y DCF and P/E multiples.

We use a 15y DCF (different to 10y DCF used for rest of coverage) to take into account the runway for growth and scalability. WACC 8%, terminal growth 2.5%.

Our P/E approach is derived from historical multiples vs. Luxury peer average and vs. Hermès. >40x FY26e is justified on earnings visibility (high) and earnings volatility (low).

Risks to Upside

- Brand desirability increases
- Successful expansion into more categories
- Additional economies of scale and margin uplift
- EUR weakening

Risks to Downside

- Brand desirability fades
- Key man risk: Mr. Brunello Cucinelli is a critical asset to the company, having founded it in 1978 and still being at the helm today
- EUR strengthening

Richemont SA (CFR.S)

We use a DCF-based valuation methodology, which we think best reflects the company's margin potential and cash flow. We assume a WACC of 8.4% and long-term growth rate of 2.5%.

Risks to Upside

- If our assumption of an efficiency focus materializes, this would likely result in EPS growth.
- Cartier jewellery sales growing more than expected.

Risks to Downside

- A material slowdown in China when the US slows down presents the biggest risk to Richemont.
- Continued deterioration in the watch segment.

Ferrari NV (RACE.MI)

Our PT is derived using a 10-year DCF valuation method with a WACC of 7.5% (from 8.1%) and a 4.5% terminal growth rate.

Risks to Upside

- Strong orderbook with unexpected product launches
- Luce performs better than low expectations and attracts new client cohorts without brand dilution
- F80 production ramp-up
- Multiple re-rates closer to historical premium

Risks to Downside

- Weakness in demand/residuals or production issues
- Execution risk of the F80
- High exposure to European HNWI
- Execution risk on the EV and potential PnL impact(s)
- Tariffs

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Brunello Cucinelli (BCU.MI) - As of 07/14/26 GMT in EUR
Industry : Brands



Stock Rating History: 3/12/25 : 0/I; 7/7/25 : NA/I; 1/27/26 : 0/I

Price Target History: 3/12/25 : 130; 5/2/25 : 120; 7/7/25 : NA; 1/27/26 : 95; 6/1/26 : 100

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

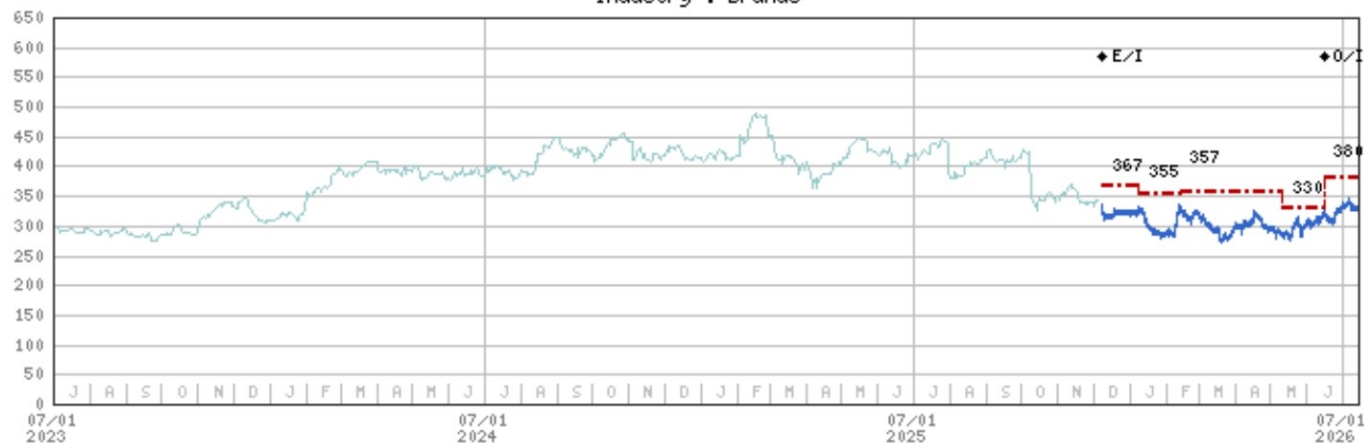
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Ferrari NV (RACE.MI) - As of 07/14/26 GMT in EUR
Industry : Brands



Stock Rating History: 12/9/25 : E/I; 6/15/26 : 0/I

Price Target History: 12/9/25 : 367; 1/9/26 : 355; 2/13/26 : 357; 5/11/26 : 330; 6/15/26 : 380

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target -- No Price Target Assigned (NA)

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Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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Richemont SA (CFR.S) - As of 07/14/26 GMT in CHF
Industry : Brands



Stock Rating History: 7/1/21 : O/I; 9/26/23 : E/I; 2/5/25 : O/I

Price Target History: 5/21/21 : 114; 10/28/21 : 124; 11/12/21 : 152; 1/18/22 : 165; 5/25/22 : 125; 11/11/22 : 137; 1/17/23 : 160; 4/25/23 : 175; 5/12/23 : 185; 7/17/23 : 180; 9/26/23 : 138; 11/10/23 : 125; 5/17/24 : 142; 9/4/24 : 136; 11/8/24 : 131; 1/14/25 : 148; 2/5/25 : 200; 3/21/25 : 190; 7/16/25 : 180; 10/6/25 : 183; 11/14/25 : 192; 6/2/26 : 200

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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INDUSTRY COVERAGE: Brands

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Edouard Aubin		
Adidas (ADSGn.DE)	O (04/15/2024)	€183.60
Birkenstock Holding plc (BIRK.N)	E (11/06/2023)	US\$44.63
Ferrari NV (RACE.N)	O (06/15/2026)	US\$372.98
Ferrari NV (RACE.MI)	O (06/15/2026)	€327.95
Hermes International S.C.A. (HRMS.PA)	E (10/06/2025)	€1,657.00
Kering (PRTP.PA)	E (04/10/2026)	€250.35
LVMH Moët Hennessy Louis Vuitton SA (LVMH.PA)	E (01/19/2026)	€491.50
Richemont SA (CFR.S)	O (02/05/2025)	SFr 184.15
Grace Smalley, CFA		
Burberry (BRBY.L)	O (05/18/2026)	1,081p
EssilorLuxottica SA (ESLX.PA)	O (07/05/2023)	€169.40
Hugo Boss AG (BOSSn.DE)	E (07/09/2024)	€37.96
Luxexperience BV (LUXE.N)	E (09/15/2023)	US\$7.67
Pandora A/S (PNDORA.CO)	E (01/16/2023)	DKr 784.00
PUMA SE (PUMG.DE)	++	€28.96
Natasha Bonnet		
Avolta AG (AVOL.S)	E (04/24/2026)	SFr 51.65
Brunello Cucinelli (BCU.MI)	O (01/27/2026)	€82.24
Ermenegildo Zegna (ZGN.N)	E (02/12/2026)	US\$13.16
Moncler SpA (MONC.MI)	E (06/22/2026)	€50.60
Prada SpA (1913.HK)	E (06/29/2026)	HK\$40.32
Salvatore Ferragamo Spa (SFER.MI)	U (02/12/2026)	€10.19

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* Historical prices are not split adjusted.